

CAUSES OF POVERTY IN PAKISTAN

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Pakistan has been facing poverty since a very long time. Between the years 1970s and 1990s, there was a slight declining trend in poverty in Pakistan but since then it is increasing day by day.

Education is one of the most important element which differentiates the needy from the well-off, for example the number of educated heads in poor households was almost half that in non-poor households. The family of poor household are generally larger than the non-poor households. Most of these kids are not getting any form of education and are being forced to work, hence resulting in child labor which in turn is affecting our economy as most of the countries are imposing sanctions on us due to child labor laws. Most of the poor households are being run on their aged family member's pension.

Another aspect of poverty is gender discrimination. Pakistani women get low paid jobs and are discriminated in the labor market. They are seemed inferior in the market and are given mostly receptionist jobs which are low paid and hence it is very difficult for a woman to sustain her household only on her living.

Poor governance is the root cause of poverty in Pakistan. Due to poor governance, the businesses are not setup in Pakistan and in turn this translates to lower investment levels and growth. The public is afraid of the state institutions and these have lost their faith in the sight of public. Governance is so bad in Pakistan that big companies are afraid of frauds and no rules and regulations that they are not setting up their plants in Pakistan and the country's GDP is decreasing rapidly.

With regard to economic factors, the lack of increase in GDP is the immediate cause of poverty in Pakistan. Due to unskilled labor and mismanagement of assets Pakistan is facing competitiveness in the increasingly skill-based global economy. Our factories are over-employed and none of the labor is skilled in their job and doesn't know how to do their job. There is corruption in all sectors and the money given to develop the machines and upgrade their system is not utilized properly

but instead is divided between the big people of the company and the company's economy and situation keeps worsening.

Environmental degradation is also a cause of poverty in Pakistan. For example, waterborne diseases are widespread as most of the rural areas have no access to clean drinking water. Limited healthcare in rural areas is also one of the reasons. Hence, people's money is mainly spent on healthcare of their family members of instead it being saved.

Un-employment is also one of the major reasons of poverty in Pakistan. The young generation is not given jobs in the government sector and they are thus being forced to work in low paid jobs as all the higher positions are being filled by children of ministers and other influential personalities. Due to this the people appointed on the big positions are incompetent and the companies don't grow and poverty increases as the ones those deserved that position were denied it just for some undeserving child of a minister.

Pakistan's taxation system is to also to be blamed for poverty in Pakistan. The system does not differentiate between the poor and rich and charges them both at the same rate and without seeing the income they are generating. Indeed, 80% of the duty income comes from the poor for administrations including utilities, petroleum and portable correspondence. In the interim, the assessments gathered from the wealthy don't surpass five percent.

Government assistance NGOs are fundamentally organizations working with weak gatherings. Examples of government assistance associations in Pakistan are the Edhi Welfare Trust and the Ansar Burney Government assistance Trust. The Edhi Welfare Trust, runs an organization of help administrations all around the nation and has been perceived globally, while the Ansar Burney Government assistance Trust began as a basic liberties backing bunch working for lawful change, especially prison changes, yet has since fanned out into a scope of government assistance exercises focused on at detainees and their families specifically. The NGOs are playing a major role in driving out poverty from the country.

The Government has tried to eradicate poverty in Pakistan. One such measure was to launch the "Ehsaas" programme in which money was given to ultra-poor families via unconditional cash transfers to women. Also, the Government gave chicken and cows to people in the tenure of Prime Minister, Imran Khan to help

the poor family build up businesses and generate income for themselves and eradicate poverty.

The Prime Minister has also tried to build jobs in the housing sector by giving low interest rates on housing loan, to enable small and low earning people to build their homes in the Naya Pakistan Housing Scheme by taking very low interest rates loan from the government. Due to this jobs have been created and given a boost in economy and has to some extent helped in finishing poverty.

Also, subsidies is being given to farmers of Pakistan, to encourage farming sector in Pakistan as most of the export in Pakistan is comprised of cotton hence to enhance its production and other crops too the government is giving subsidies on different things related to farming to help give a better yield so that it can be exported and some money can be generated through them.

Public-Private partnership is also being encouraged in all sectors. For example, in the railway sector, public-private train GreenLine is being run which is generating income for the government. These types of partnerships are good for government as the government does not have the money to accomplish these tasks and by introducing these partnerships the consumer gets the product in this case the train and the government gets money otherwise the tracks would just have stayed there rotting rather than now they are generating money.

Also, government is allowing machines to be imported on which taxes are very low and subsidies are being given to encourage setup of factories in Pakistan. This will result in increase in exports further strengthening the economy of Pakistan.

To sum up, these were some of the causes of poverty in Pakistan and ways in which Pakistan is overcoming this problem.